

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ELITE LOGISTICS CORP., *Complainant*

v.

TANERA TRANSPORT LLC, *Respondent*.

DOCKET NO. 25-27

Served: February 4, 2026

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

Elite Logistics Corp. (“Complainant”) filed a Complaint with the Office of the Secretary naming Tanera Transport LLC (“Respondent”).

In brief, the Complaint alleges that Complainant is a motor carrier, and that Respondent is an ocean transportation intermediary (“OTI”). Complainant alleges that Respondent violated 46 U.S.C. § 41102(c) by failing to establish, observe and enforce just and reasonable cargo-handling practices, namely Respondent failed to pay six invoices for the transportation of nine containers. Complainant adds that it filed this Complaint because Respondent’s surety denied Complainant’s claim because a judgment had not yet been obtained per 46 C.F.R. § 515.23.

Although Respondent defaulted, I nevertheless find that Complainant’s Complaint should be dismissed for a lack of jurisdiction. The Commission’s jurisdiction is limited, and the matters alleged in the Complaint are more properly suited for a different forum. Therefore, the Complaint is **DISMISSED**. Even if the Commission had jurisdiction, the § 41102(c) claim should be denied due to lack of merit.

II. BACKGROUND

Complainant filed a Complaint on December 1, 2025. In brief, Complainant alleges that it is a motor carrier, and that it transported containers for Respondent. Respondent, however, failed to pay six invoices related to nine containers, violating 46 U.S.C. § 41102(c).

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. (46 C.F.R. § 502.227).

The Office of the Secretary issued a Notice of Filing of the Complaint on December 4, 2025.

Because the Complaint was served by the Office of the Secretary on December 4, 2025, the Answer was due on December 29, 2025. Respondent did not respond to the Complaint on or before December 29, 2025.

On January 12, 2026, I issued an Order to Show Cause (“OTSC”) requiring Respondent to respond to the Complaint and show cause why a decision on default should not be entered no later than January 26, 2026. Respondent did not respond to the OTSC.

On January 28, 2026, I issued an Order Finding Respondent to be in Default, Rejecting Emailed Motion for Default Decision, and Requesting Additional Information (the “January 28 Order”). Among other things, the January 28 Order found that Respondent is in default.

The January 28 Order also required additional information from Complainant to support its claim.

On January 29, 2026, Complainant filed Complainant’s Response to Request for Information Pursuant to 46 C.F.R. § 502.65(c) (“RFI Response”). The RFI Response is discussed below.

III. FINDINGS OF FACT

1. Complainant is a motor carrier. (Formal Complaint, Section 1).
2. I take official notice (*see* 46 C.F.R. § 502.226(a)) of the fact that Respondent is registered with the Commission as a non-vessel-operating common carrier and ocean freight forwarder. (<https://www2.fmc.gov/oti/>).
3. The record contains the following invoices with the following information:

Invoice No.	Date	Container No.	Invoice Amount
264284	10/17/2024	CGMU80114071	\$1,342.50
265879	12/4/2024	FSCU8965138	\$1,501.25
265882	12/4/2024	MEDU8848264	\$1,415.00
268316	1/20/2025	BSIU804100 TGBU9969026	\$2,930.00
268317	1/14/2024	FSCU4971092	\$1,280.00
269274	1/28/2025	EGSU9563629 EITU9248624 TGBU9979894	\$6,505.00
		Total	\$14,973.75

(See RFI Response, at Exs. A & B).

4. The record contains six delivery orders. (See RFI Response, at Ex. C). All of the delivery orders are on Respondent's letterhead, and all show Complainant as the trucker. One of the delivery orders was for Complainant to deliver cargo to the San Pedro port for shipment to the Northern Marianas Islands. (See RFI Response, at Ex. C, Delivery Order issued October 8, 2024). The other delivery orders were for delivery of cargo from either the Long Beach port or the San Pedro port to an inland destination. (See generally RFI Response, at Ex. C).
5. The record contains several documents that consist of pre-printed forms with handwritten notes that show the times containers were picked up and dropped off. (See RFI Response, Ex. D).

IV. ANALYSIS

The Commission's rules provide that: "[w]hen a party is found to be in default, the Commission or the presiding officer may issue a decision on default upon consideration of the record, including the complaint." (46 C.F.R. § 502.65(b)). "When a respondent defaults, the finder of fact accepts as true all well-pleaded facts in the order." (*Color Brands, LLC v. AAF Logistics, Inc.*, Dkt. No. 22-18, 2023 WL 12052869, at *2 (ALJ Jan. 27, 2023) (citations omitted) (*aff'd in relevant part*, 2024 WL 246193, at *2 (FMC Jan. 18, 2024))). Nevertheless, "[t]he fact that a default is entered does not automatically result in plaintiff recovering what was demanded in the complaint." (10A Charles Alan Wright and Arthur R. Miller, *Federal Practice and Procedure*, § 2688.1). "Even after default, however, it remains for the court to consider whether the unchallenged facts constitute a legitimate cause of action, since a party in default does not admit conclusions of law." (*Congressional Hunger Ctr. v. Gurey*, 308 F. Supp. 3d 223, 228-29 (D.D.C. 2018) (quoting *Fed. Prac. & Proc.*, § 2688.1)).

As discussed below, it appears that this matter is not properly before the Commission. Even if it were properly before the Commission, Complainant does not allege a viable claim under 46 U.S.C. § 41102(c).

A. The Commission Lacks Jurisdiction Over Collection Actions

In general, the Commission's jurisdiction is limited to hearing matters that arise under the Shipping Act. The Commission may not hear common law claims, such as breach of contract claims. For example, in *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at *14-15 (FMC Oct. 31, 2000), the Commission vacated and remanded an administrative law judge's decision denying a motion to dismiss the complainant's claims. The Commission stated that the complainant's claims were substantially contract law claims, even though they were identified in the complaint as alleged Shipping Act violations. (*Id.*, at *15). The Commission stated that such claims were not properly before the Commission in the absence of any showing that "some extraordinary aspects of the allegation distinguish it substantially from a breach claim." (*Id.*, at *15).

Here, Complainant is seeking to collect for non-payment of invoices related to the shipment of containers for Respondent. Such a claim is generally not within the Commission's jurisdiction.

I appreciate that Complainant cites 46 C.F.R. § 515.23, which discusses collection procedures against an OTI's surety. That regulation, however, does not create jurisdiction for the Commission to hear common law claims. Instead, the regulation specifically references "court action[s]" and "court judgment[s]." (46 C.F.R. § 515.23(c)).

Because the claim here does not appear to arise under the Shipping Act, but instead appears to be more akin to a breach of contract action, or collection action, the Commission does not have jurisdiction. Therefore, the Complaint is appropriately **DISMISSED**.

B. Even if the Commission Had Jurisdiction, the § 41102(c) Claim Fails

Even if I concluded that the Commission had jurisdiction, the § 41102(c) is not meritorious. That statute provides that: "[a] common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with another person, directly or indirectly, may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property." (46 U.S.C. § 41102(c)).

By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

The Commission issued 46 C.F.R. § 545.4 in 2018. In the rulemaking for that rule, the Commission stated that: "Section 41102(c) was never intended to be a method of resolving every dispute that arises in the receiving, handling, storing or delivering of cargo." (*Interpretive Rule, Shipping Act of 1984* ("Interpretive Rule"), 83 FED. REG. 64478, 64479). Instead, the Commission clarified that, historically, a violation of § 41102(c) (and its predecessor statute) requires a showing that, ". . . the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." (*Id.*) (citations omitted). In short, § 41102(c) does not create a remedy for a one-time unreasonable act. To state a claim under § 41102(c), the act at issue must occur on a normal, customary and continuous basis. (46 U.S.C. § 41102(c); *see also Crocus Investments, LLC v. Marine Trans. Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *8 (FMC Aug. 18, 2021)).

Focusing on the second element of a claim under § 41102(c), I accept as true that Respondent failed to pay invoices over the course of approximate three months during a business relationship that lasted over two years. (Formal Complaint, at Section 4; *Color Brands*, 2023 WL 12052869, at *2).

Whether that constitutes a “practice,” however, is a conclusion of law. (*Investigation of Certain Practices of Stockton Elevators*, No. 1072, 8 F.M.C. 181, 196 (FMC Jun. 30, 1964)). The burden of proof is on the Complainant. (*Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C.2d 264, 2019 WL 1376529, at *13 (ALJ Mar. 25, 2019) (settled on appeal, 1 F.M.C.2d 502 (FMC Dec. 19, 2019) (stating that, under the Shipping Act, “a complainant has the burden of proving by a preponderance of the evidence that the respondent violated the Act.”); *see also* 5 U.S.C. § 556(d)).

I find that the facts here do not establish a “practice” for purposes of § 41102(c). This case is factually similar to *Stockton Elevators*, where the Commission affirmed the Hearing Officer’s conclusion that “an occasional practice such as here shown[,]” namely “the granting of five allowances or the arraigning for the single wharfage reduction” over the course of approximately five-and-a-half-months did not constitute a “practice.” (*Id.*, at 200-02; *see also Crocus Investments*, 2021 WL 3732849, at *8 (citing *Stockton Elevators*, and stating “Even six instances of ‘unreasonable conduct’ carried out over a period of several months involving the same entities have been ruled insufficient to prove that conduct was ‘uniform or continuous’ under § 41102 (or its predecessor, section 17 of the Shipping Act).”). Six instances of non-payment during the course of a business relationship that spanned two years is not a “practice.”

Because the burden of proof is on Complainant, and because Complainant does not produce any evidence showing how the alleged misconduct constitutes a “practice,” Complainant’s claim that Respondent violated § 41102(c) is without merit. I do not address the other elements of a claim under § 41102(c) as it is unnecessary to do so.

V. CONCLUSION

For the reasons discussed, even though Respondent defaulted, it is **HEREBY ORDERED** the Complaint is nevertheless **DISMISSED** for lack of jurisdiction. It is

FURTHER ORDERED that this matter be discontinued.

SO ORDERED

Richard C. Ambrow Jr -S

Richard Ambrow
Administrative Law Judge